

investor, this points to the benefit of having at least some part of the portfolio untethered from these movements.

SOME EXAMPLES FROM MODERN TIMES

Relative price dislocations between specific securities are the stuff that fixed-income relative value strategies are made of. We have seen our share of them in recent decades. The art, as Graham and Dodd preach, is to keep looking for opportunities while not being hesitant to pass and await something more attractive. As their prominent disciple Warren Buffett said, “The trick in investing is just to sit there and watch pitch after pitch go by and wait for the one right in your sweet spot. And if people are yelling, ‘Swing, you bum!,’ ignore them.”¹

An example of what Graham and Dodd discuss in the section titled “Comparison of Definitely Related Issues” occurred in late 2018, when investment grade bonds denominated in euros traded systematically tight relative to dollar-denominated investment grade bonds. This mispricing across currencies was largely caused by technical aspects of supply and demand, and secondarily by differences in the currency. The European Central Bank (ECB) exacerbated the cross-currency differential particularly on securities from European issuers that were part of a major ECB corporate sector buyback program intended to provide monetary policy accommodation and generally boost the euro-area economy. As Graham and Dodd discuss in “Discrepancies Due to Special Supply and Demand Factors” (Chap. 51), a large buyer can create significant dislocations between two *pari passu* bonds. Corporate bond market investors willing to look across both EUR and USD markets could be rewarded by taking advantage of significant discrepancies in the trading levels of bonds issued by the same company. For example, General Electric, which has had a global

¹ Peter Kunhardt, *Becoming Warren Buffett*, Kunhardt Films, Home Box Office (HBO), 2017.